



Rating
Hold

North America
United States

TMT
Semiconductors

Company
NVIDIA Corporation

Reuters Bloomberg Exchange Ticker
NVDA.OQ NVDA US NMS NVDA

Date
21 February 2024

Forecast Change

Price at 21 Feb 2024 (USD)	674.72
Price target	720.00
52-week range	739.00 - 207.54

F4Q24 Results: The joyride continues

As previewed, NVDA delivered its fourth straight quarter of multi-billion dollar revenue upside, albeit with this beat largely already anticipated by the buy-side (less “stunning” than in prior quarters, but still impressive nonetheless). While lead times have likely been compressing as supply increases come online, NVDA remains confident in the strength/quality of its demand pipeline, with its customer base broadening beyond traditional CSPs into a multitude of startups, sovereign entities, verticals, etc. Importantly, NVDA believes this pervasive and diversified demand profile should yield revenues continuing to grow in CY25 and beyond, in contrast to bears pointing to historical cyclicalities which would suggest a looming correction. Overall, we applaud NVDA for yet another quarter of massive upside on both the top and bottom line (NVDA operating income is expected to be as big/ bigger than INTC revenues going forward) and believe fundamental momentum remains in NVDA’s favor in the near and medium terms. However, on moderately higher estimates (higher revenues somewhat offset by a higher tax rate), and after embedding a modest cyclical correction in 2025, we believe NVDA’s earnings potential is sufficiently reflected in the co’s current valuation. Raise P/T to \$720, maintain Hold.

Positives outweigh negatives

Positives: 1) For the fourth consecutive quarter, NVDA delivered a multi-billion dollar beat and raise as demand for AI compute remains strong and spreads to a broader base of customers (start-ups, sovereigns, etc). NVDA believes this positive momentum should be sustained beyond 2024, benefiting from additional tailwinds from new product introductions (Blackwell generation etc). 2) Impressively, revenues to the US doubled q/q (+\$6b q/q to \$12b) while revenues to China fell -52% q/q to only \$2b (9% of revs). Importantly, China Data Center contribution in the quarter was relatively minimal (fell to ~mid-single digit % from average 20-25%) as the company continues to comply with US export controls, and we believe the outlook for China going forward is relatively de-risked. 3) NVDA’s cash generation is extremely healthy (FCF estimated to be ~50%+ of revs), positioning the company well to pursue organic/inorganic growth initiatives as well as strong cash returns. **Negatives:** Once again, there is relatively little to pick at in such a strong report and guide. However, we’d highlight the following: 1) Most of the GM upside in the quarter and guide came from favorable component costs/mix, and that is expected to normalize to the mid-70s range after Apr-qtr. We still highlight this normalized is well above historic averages and above even best-in-class semis peers. 2) NVDA’s

Valuation & Risks

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Key changes

TP	560.00 to 720.00	↑	28.6%
EPS (USD)	18.00 to 21.34	↑	18.6%
Revenue (USDm)	88,764.3 to 102,683.2	↑	15.7%

Source: Deutsche Bank

Deutsche Bank Securities Inc.

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Gaming, Auto, and Proviz businesses appear to be doing “okay”, albeit with majority of the attention having now moved almost entirely to Data Center segment (83% of revs).

Another significant beat and raise

NVDA reported Jan-qtr revenues of \$22.1b (+22% q/q, +265% y/y), again solidly above guidance/DBe of \$20.0b/\$20.5b and Street at \$20.4b. By end market, Data Center revs significantly beat our expectations (+\$1.4b above DBe) driven by the Hopper GPU, InfiniBand and networking strength. Gaming revs beat our expectations (+2% q/q vs DBe -5% q/q) benefitting from steady demand for GeForce RTX GPUs (due to the holidays). Finally, Proviz revs of \$463m (+10% q/q vs. DBe +10% q/q) were generally in-line with our expectations, Auto revs of \$281m (+7% q/q vs. DBe flat q/q) were ahead of our ests, and OEM/Other revs were above our ests at \$80m. PF GMs came in at 76.7%, vs. guidance 75.5% despite a 2.5ppt net headwind from inventory dynamics, and PF Opex came in at \$2.21b vs. guidance/DBe \$2.20b. All told, Jan-qtr EPS totaled \$5.16, well above DBe/Street at \$4.60 on better revs/margins. NVDA guided revenues to \$24.0b (+9% q/q) well above DBe/Street at \$22.1b/\$21.9b on growth in Data Center and Proviz (with a slight offset from a seasonal decline in Gaming). Non-GAAP GM was guided to 77.0% (vs. DBe 75.7%), with non-GAAP OpEx guided to \$2.50b (vs. DBe \$2.31b), yielding implied non-GAAP EPS of ~\$5.42, solidly above DBe/Street at \$5.03/\$4.93 as higher revs are partially offset by a higher tax rate. Our CY24E revenue/EPS moves to \$102.7b (+69% y/y)/ \$22.97 from \$88.8b (+50% y/y)/ \$20.07, and our CY25E revs/EPS move to \$107.4b (+5% y/y)/ \$24.00 from \$101.6b (+14% y/y)/ \$23.01 prior. We introduce our CY26E rev/EPS ests of \$124.6b (+16% y/y)/ \$29.00.

Maintain Hold rating, raise P/T to \$720

On higher estimates and a higher target multiple, we raise our P/T to \$720 and maintain our Hold rating. Our P/T is based on a multiple of ~30x our CY25E EPS, a premium to the co's recent trading range in the 20-25x range to reflect strong earnings momentum, but still a discount to the co's 5-year average. Upside/downside risks include better-/worse-than-expected Gaming, Data Center, Automotive, and OEM/Other revenue growth, higher-/lower-than-expected profitability, macro, design win/product execution, and market share shifts. Positive/negative company-specific risks include market share gains/losses in Graphics and Compute & Networking businesses, competitive and pricing pressure, product execution, and impacts to profitability from investments.



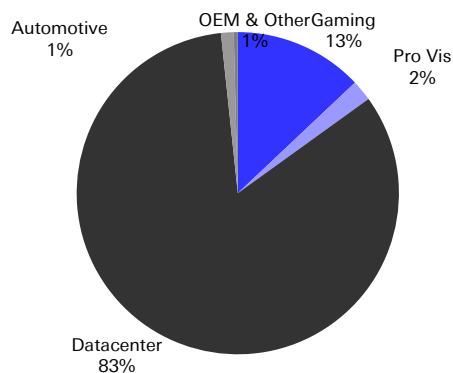
Details

Figure 1: NVIDIA earnings result summary

	Consensus	4Q24 DBe	4Q24 Actual	Comments
Revenue	\$20,412	\$20,494	\$22,103	Well above DB est/guidance of \$20.0b Above DB est on one-time items
q/q	+13%	+13%	+22%	
Gross Margin		75.5%	76.7%	
Opex		\$2,201	\$2,210	
Tax Rate		14.5%	14.3%	
EPS	\$4.60	\$4.60	\$5.16	Above DB est
End Market Segment Results				
Gaming		\$2,714	\$2,865	Above DB est
q/q		-5%	+0%	
Professional Visualization		\$458	\$463	In-line with DB est
q/q		+10%	+11%	
Datacenter		\$16,981	\$18,404	Well above DB est
q/q		+17%	+27%	
Automotive		\$261	\$281	Above DB est
q/q		0%	+8%	
OEM & Other		\$80	\$90	
q/q		+10%	+23%	
Balance Sheet				
Cash and equivalents		\$25,512	\$25,984	
q/q		\$7,231	\$7,703	
Inventory		\$5,371	\$5,282	
q/q		+\$592	+\$503	
DIOs		97	94 days	
q/q		+1 day	-2 days	
Cash Flow Statement				
CFO		\$10,619	\$11,500	
Capex		\$278	\$253	
FCF		\$10,341	\$11,247	

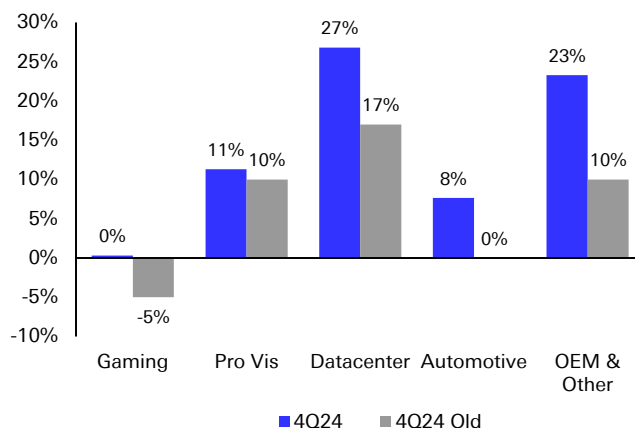
Source : Company data, Bloomberg Finance LP, Deutsche Bank estimates

Figure 2: Reported quarter product mix



Source : Company data, Deutsche Bank estimates

Figure 3: Reported quarter q/q change (Actual vs. DBE)



Source : Company data, Deutsche Bank estimates



Guidance and estimate revisions

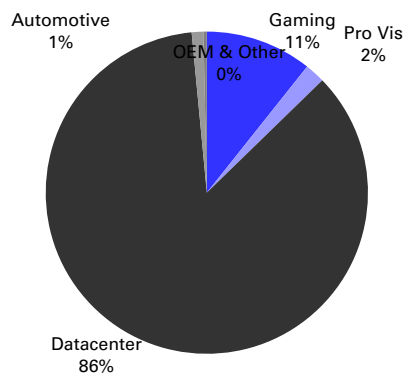
NVIDIA provided the following guidance:

Figure 4: NVIDIA quarterly guidance

Guidance item	Guidance	Prior DBe
Revenues	\$24.0b +/-2%	--
q/q change (implied)	+6-11% q/q	+8%
Revenue Midpoint (\$ in b)	\$24.00	\$22.08
Non-GAAP GM%	77.0% +/- 50bps	75.7%
PF opex (m)	\$2,500	\$2,305
Other income/(expense)	\$250m income	\$300m income
Tax rate	17% +/- 1%	15.0%
Gaming	--	-6%
Datacenter	--	10%
Automotive	--	10%
Provisualization	--	5%

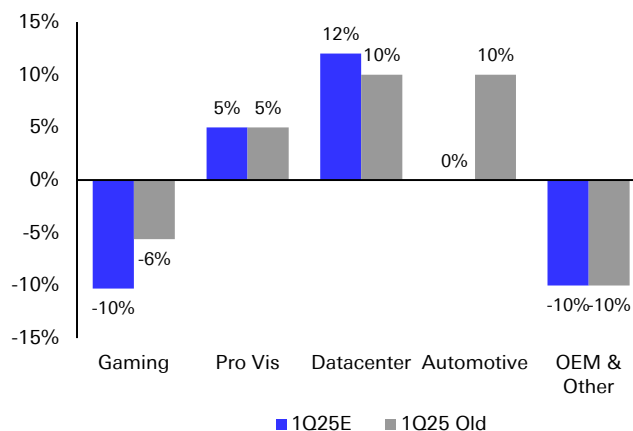
Source : Company reports, Deutsche Bank estimates

Figure 5: Fwd qtr est product segment mix



Source : Deutsche Bank estimates

Figure 6: Fwd qtr est segment growth (new vs. old)



Source : Deutsche Bank estimates

Given NVDA's guidance, we adjust our estimates as illustrated below:

Figure 7: NVIDIA estimates summary

	<u>New 1Q25E</u>	<u>Old 1Q25E</u>	<u>New CY24E</u>	<u>Old CY24E</u>	<u>New CY25E</u>	<u>Old CY25E</u>
Revenue	\$24,030	\$22,080	\$102,683	\$88,764	\$107,410	\$101,567
q/q	+9%	+8%	--	--	--	--
y/y	+234%	+207%	+69%	+50%	+5%	+14%
Gross Margin	77.0%	75.7%	75.6%	74.8%	74.7%	73.4%
EPS	\$5.42	\$5.03	\$22.97	\$20.07	\$24.00	\$23.01

Source : Deutsche Bank estimates

Figure 8: NVIDIA Income Statement (\$ in millions, except per share data)

	Apr-23 1Q24	Jul-23 2Q24	Oct-23 3Q24	Jan-24 4Q24	Year 2024E	Apr-24 1Q25E	Jul-24 2Q25E	Oct-24 3Q25E	Jan-25 4Q25E	Year 2025E	Apr-25 1Q26E	Jul-25 2Q26E	Oct-25 3Q26E	Jan-26 4Q26E	Year 2026E
Revenues	\$7,192	\$13,507	\$18,120	\$22,103	\$60,922	\$24,030	\$25,403	\$26,441	\$26,808	\$102,683	\$25,576	\$25,963	\$27,492	\$28,379	\$107,410
Depreciation	211	228	237	250	926	255	260	265	270	1,050	275	280	285	290	1,130
Cost of Goods	2,179	3,665	4,300	4,894	15,038	5,262	6,037	6,294	6,390	23,973	6,311	6,460	6,645	6,653	26,069
Gross Profit (Non-GAAP)	4,802	9,614	13,583	16,959	44,958	18,513	19,107	19,882	20,158	77,660	18,990	19,223	20,562	21,436	80,211
Research and Development (Non-GAAP)	1,339	1,440	1,581	1,747	6,107	2,019	2,084	2,143	2,253	8,499	2,341	2,442	2,489	2,569	9,841
Selling, General and Admin. (Non-GAAP)	411	398	445	463	1,717	491	519	541	588	2,140	600	622	645	665	2,531
Other Non-GAAP Adjustments	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
Total Operating Expenses (Non-GAAP)	1,750	1,838	2,026	2,210	7,824	2,511	2,604	2,683	2,841	10,639	2,941	3,063	3,134	3,235	12,373
Operating Income	3,052	7,776	11,557	14,749	37,134	16,003	16,503	17,198	17,317	67,021	16,049	16,160	17,428	18,201	67,839
Interest Income	150	187	234	294	865	318	435	554	686	1,993	823	960	1,087	1,233	4,104
Interest Expense on ST Debt	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
Interest Expense on LT Debt	66	65	63	63	257	63	63	63	63	252	63	63	63	63	252
Interest Expense on Conv. Debt	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
Total Interest Expense	66	65	63	63	257	63	63	63	63	252	63	63	63	63	252
Other Non-oper. Exp. / (Inc.)	0	2	(4)	(1)	(3)	0	0	0	0	0	0	0	0	0	0
Pretax Income	3,136	7,896	11,732	14,981	37,745	16,258	16,875	17,690	17,940	68,762	16,809	17,057	18,453	19,372	71,691
Income Tax Expense / (Benefit)	423	1,156	1,712	2,142	5,433	2,764	2,869	3,007	3,050	11,690	2,858	2,900	3,137	3,293	12,187
Non-GAAP Net Income for Diluted EPS	\$2,713	\$6,740	\$10,020	\$12,839	\$32,312	\$13,494	\$14,006	\$14,682	\$14,890	\$57,073	\$13,952	\$14,157	\$15,316	\$16,078	\$59,503
PF Basic EPS	\$1.10	\$2.73	\$4.06	\$5.21	\$13.09	\$5.48	\$5.69	\$5.97	\$6.06	\$23.19	\$5.68	\$5.76	\$6.24	\$6.55	\$24.23
PF Fully Diluted EPS	\$1.09	\$2.70	\$4.02	\$5.16	\$12.96	\$5.42	\$5.63	\$5.91	\$6.00	\$22.97	\$5.62	\$5.71	\$6.18	\$6.49	\$24.00
Weighted Average Shares Out. (in '000s)	2,470,000	2,473,000	2,468,000	2,466,000	2,469,250	2,464,000	2,462,000	2,460,000	2,458,000	2,461,000	2,457,000	2,456,000	2,455,000	2,454,000	2,455,500
Diluted Shares (in '000s)	2,490,000	2,499,000	2,494,000	2,490,000	2,493,250	2,488,000	2,486,000	2,484,000	2,482,000	2,485,000	2,481,000	2,480,000	2,479,000	2,478,000	2,479,500
Net ESO Expense	\$735	\$842	\$979	\$993	\$3,549	\$1,043	\$1,095	\$1,150	\$1,150	\$4,436	\$1,207	\$1,267	\$1,331	\$1,331	\$5,136
Adjusted Basic GAAP EPS (incl-ESO)	\$0.80	\$2.38	\$3.66	\$4.80	\$11.65	\$5.05	\$5.24	\$5.50	\$5.59	\$21.39	\$5.19	\$5.25	\$5.70	\$6.01	\$22.14
Adjusted Diluted GAAP EPS (incl-ESO)	\$0.79	\$2.36	\$3.63	\$4.76	\$11.54	\$5.00	\$5.19	\$5.45	\$5.54	\$21.18	\$5.14	\$5.20	\$5.64	\$5.95	\$21.93
Common Dividends Per Share	\$0.04	\$0.04	\$0.04	\$0.04	\$0.16	\$0.04	\$0.04	\$0.04	\$0.05	\$0.17	\$0.05	\$0.05	\$0.05	\$0.05	\$0.19
Nonrecurring Charges	\$192	\$73	\$231	\$(118)	\$378	\$(118)	\$(118)	\$(118)	\$(118)	\$(472)	\$(118)	\$(118)	\$(118)	\$(118)	\$(472)
Tax Effect of Charges	(257)	(363)	(433)	(321)	(1,374)	20	20	20	20	80	20	20	20	20	80
GAAP Net Inc. for Dil. EPS	\$2,043	\$6,188	\$9,243	\$12,285	\$29,759	\$12,549	\$13,009	\$13,631	\$13,838	\$53,028	\$12,843	\$12,988	\$14,083	\$14,846	\$54,759
GAAP Basic EPS	\$0.83	\$2.50	\$3.75	\$4.98	\$12.05	\$5.09	\$5.28	\$5.54	\$5.63	\$21.55	\$5.23	\$5.29	\$5.74	\$6.05	\$22.30
GAAP Diluted EPS	\$0.82	\$2.48	\$3.71	\$4.93	\$11.94	\$5.04	\$5.23	\$5.49	\$5.58	\$21.34	\$5.18	\$5.24	\$5.68	\$5.99	\$22.08
Revenue % Change - Sequential	18.9%	87.8%	34.2%	22.0%	NM	8.7%	5.7%	4.1%	1.4%	NM	(4.6%)	1.5%	5.9%	3.2%	NM
EPS % Change - Sequential	24.1%	147.5%	49.0%	28.3%	NM	5.2%	3.9%	4.9%	1.5%	NM	(6.3%)	1.5%	8.2%	5.0%	NM
Revenue % Changes, yr. over yr.	(13.2%)	101.5%	205.5%	265.3%	125.9%	234.1%	88.1%	45.9%	21.3%	68.5%	6.4%	2.2%	4.0%	5.9%	4.6%
EPS % Change, yr. over yr.	(19.7%)	425.2%	589.6%	487.5%	288.4%	397.8%	108.9%	47.1%	16.3%	77.2%	3.7%	1.3%	4.5%	8.2%	4.5%
Gross Margin	66.8%	71.2%	75.0%	76.7%	73.8%	77.0%	75.2%	75.2%	75.2%	75.6%	74.2%	74.0%	74.8%	75.5%	74.7%
R&D/Sales	18.6	10.7	8.7	7.9	10.0	8.4	8.2	8.1	8.4	8.3	9.2	9.4	9.1	9.1	9.2
SG&A/Sales	5.7	2.9	2.5	2.1	2.8	2.0	2.0	2.0	2.2	2.1	2.3	2.4	2.3	2.3	2.4
Operating Expenses	24.3	13.6	11.2	10.0	12.8	10.4	10.2	10.1	10.6	10.4	11.5	11.8	11.4	11.4	11.5
Operating Margin	42.4	57.6	63.8	66.7	61.0	66.6	65.0	65.0	64.6	65.3	62.8	62.2	63.4	64.1	63.2
Non-Operating Expenses/Sales	3.0	1.9	1.6	1.6	1.8	1.6	2.0	2.3	2.8	2.2	3.5	3.9	4.2	4.6	4.1
Pretax Margin	43.6	58.5	64.7	67.8	62.0	67.7	66.4	66.9	66.9	67.0	65.7	65.7	67.1	68.3	66.7
Tax Rate	13.5	14.6	14.6	14.3	14.4	17.0	17.0	17.0	17.0	17.0	17.0	17.0	17.0	17.0	17.0
Net Margin	37.7	49.9	55.3	58.1	53.0	56.2	55.1	55.5	55.5	55.6	54.6	54.5	55.7	56.7	55.4

Source : Company data, Deutsche Bank estimates



Appendix 1

Important Disclosures

*Other information available upon request

Disclosure checklist			
Company	Ticker	Recent price*	Disclosure
NVIDIA Corporation	NVDA.OQ	694.52 (USD) 20 Feb 2024	8, 15

*Prices are current as of the end of the previous trading session unless otherwise indicated and are sourced from local exchanges via Reuters, Bloomberg and other vendors . Other information is sourced from Deutsche Bank, subject companies, and other sources. For disclosures pertaining to recommendations or estimates made on securities other than the primary subject of this research, please see the most recently published company report or visit our global disclosure look-up page on our website at <https://research.db.com/Research/Disclosures/EquityResearchDisclosures>. Aside from within this report, important risk and conflict disclosures can also be found at <https://research.db.com/Research/Disclosures/Disclaimer>. Investors are strongly encouraged to review this information before investing.

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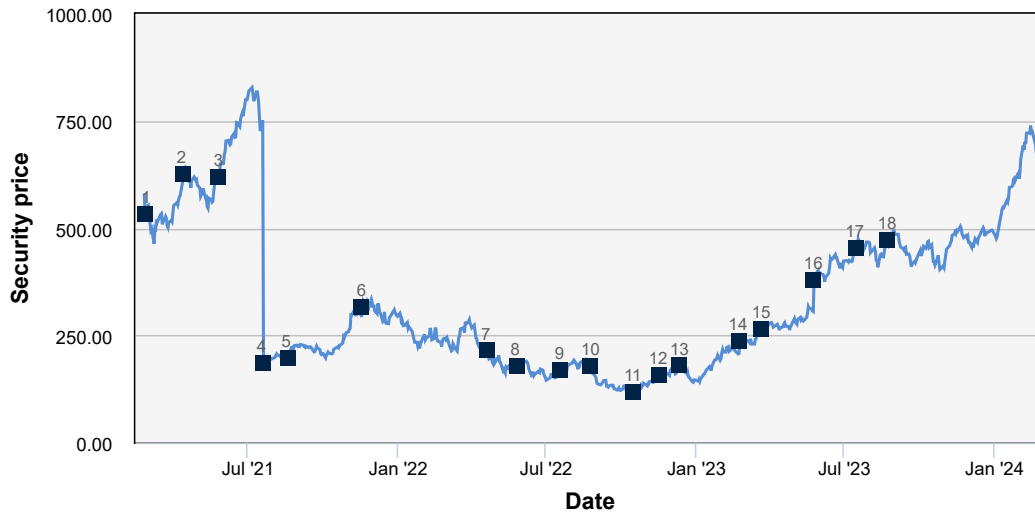
Analyst Certification

The views expressed in this report accurately reflect the personal views of the undersigned lead analyst(s) about the subject issuer and the securities of the issuer. In addition, the undersigned lead analyst(s) has not and will not receive any compensation for providing a specific recommendation or view in this report. Ross Seymore.



Historical recommendations and target price: NVIDIA Corporation (NVDA.OQ)

(as of 02/21/2024)



Current Recommendations

Buy
Hold
Sell
Not Rated
Suspended Rating

** Analyst is no longer at Deutsche Bank

1. 02/25/2021	Hold, Target Price Change USD 560.00, Current Price USD 532.30 Ross Seymore	10. 08/25/2022	Hold, Target Price Change USD 165.00, Current Price USD 179.13 Ross Seymore
2. 04/13/2021	Hold, Target Price Change USD 575.00, Current Price USD 627.18 Ross Seymore	11. 10/17/2022	Hold, Target Price Change USD 140.00, Current Price USD 118.88 Ross Seymore
3. 05/27/2021	Hold, Target Price Change USD 600.00, Current Price USD 619.52 Ross Seymore	12. 11/17/2022	Hold, Target Price Change USD 150.00, Current Price USD 156.77 Ross Seymore
4. 07/20/2021	Hold, Target Price Change USD 150.00, Current Price USD 186.12 DJ Sebastian	13. 12/13/2022	Hold, Target Price Change USD 170.00, Current Price USD 180.72 Ross Seymore
5. 08/19/2021	Hold, Target Price Change USD 185.00, Current Price USD 197.98 Ross Seymore	14. 02/23/2023	Hold, Target Price Change USD 200.00, Current Price USD 236.64 Ross Seymore
6. 11/18/2021	Hold, Target Price Change USD 285.00, Current Price USD 316.75 Ross Seymore	15. 03/22/2023	Hold, Target Price Change USD 220.00, Current Price USD 264.68 Ross Seymore
7. 04/20/2022	Hold, Target Price Change USD 255.00, Current Price USD 214.82 Ross Seymore	16. 05/25/2023	Hold, Target Price Change USD 390.00, Current Price USD 379.80 Ross Seymore
8. 05/26/2022	Hold, Target Price Change USD 190.00, Current Price USD 178.51 Ross Seymore	17. 07/16/2023	Hold, Target Price Change USD 440.00, Current Price USD 454.69 Ross Seymore
9. 07/19/2022	Hold, Target Price Change USD 175.00, Current Price USD 169.92 Ross Seymore	18. 08/24/2023	Hold, Target Price Change USD 560.00, Current Price USD 471.63 Ross Seymore

Equity Rating Key

Buy: Based on a current 12-month view of TSR, we recommend that investors buy the stock.

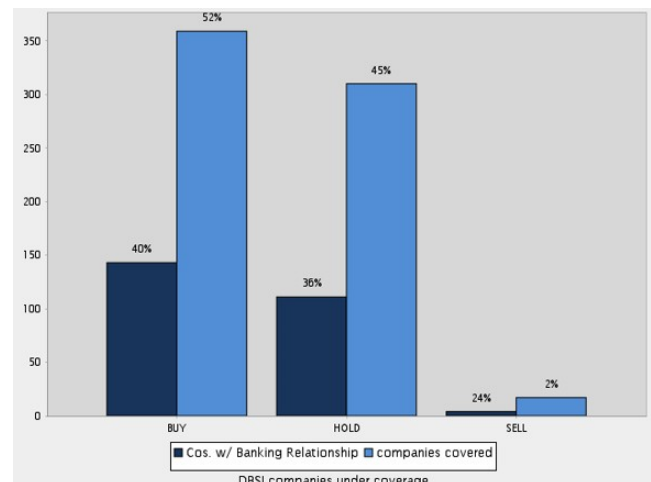
Sell: Based on a current 12-month view of TSR, we recommend that investors sell the stock.

Hold: We take a neutral view on the stock 12-months out and, based on this time horizon, do not recommend either a Buy or Sell.

TSR = Total Shareholder Return. Percentage change in share price from current price to projected target price plus projected dividend yield

Newly issued research recommendations and target prices supersede previously published research.

Equity rating dispersion and banking relationships





Additional Information

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